

THIS ISSUE TRAINS · SEEING A CUT AS A REALLOCATION, NOT A RETREAT

Money and markets

Microsoft eliminated 4,800 jobs in July 2026, roughly 2 percent of its workforce, with its Xbox division losing about a fifth of its staff. The company's chief people officer said the pace of technological change was faster than at any point in the company's history. In the same period, Microsoft continued investing billions in AI infrastructure, data centres, and cloud computing.

The layoffs and the investments are not contradictions. They are two sides of the same reallocation: the company is moving resources away from areas it considers slower growing and toward the capability it believes will define the next decade.

The SCD takeaway: a company cutting costs in one area while spending heavily in another is not confused. It is choosing. Read the investment alongside the cut to understand the strategy.

Sources: CNBC, July 6, 2026.

Engineering corner

A quantum battery that breaks the rules of charging. In April 2026, scientists built a working prototype of a quantum battery, a device that charges, stores, and releases energy using quantum mechanical effects. Unlike a conventional battery, where each cell charges independently, a quantum battery can exploit entanglement so that adding energy to one part simultaneously affects the whole system, potentially allowing it to charge faster as it gets larger. The prototype is tiny and far from practical, but the principle, that a system's parts working together can outperform the same parts working alone, is proven.

The SCD takeaway: the most powerful gains come from parts of a system that amplify each other, not from improving each part in isolation.

Source: ScienceDaily, April 4, 2026.

Your move

Cutting one thing to fuel another is the same logic whether you are a company or a battery. Microsoft cuts jobs in gaming to pour capital into AI. A quantum battery gains speed because its components are entangled rather than independent. Both are choosing connection over isolation.

This week, on your own: look at how you spent your time last week. Find one activity that consumed hours but produced little. Redirect that time, specifically, to one thing you have been meaning to start. Track the swap for a week.